

The remainder of this chapter is dedicated to outlining each of these steps in greater detail.

Assessing an Advisor Is Difficult

When it comes to investing, there is a simple question we often ask: What would Charlie Munger do? Mr. Munger is Warren Buffett's better half at Berkshire Hathaway, a multibillionaire and a master of human psychology and decision-making. As we mentioned earlier, one of Charlie's favorite approaches to decision-making is to “invert, always invert.” What Charlie means by this is that when evaluating a solution, instead of asking, “Why is X a good solution?” we should turn the question around, and work backward from the inverted question. For example, we might also consider, “Why is X *not* a good solution?” Inverting the question, and turning it over in different ways, helps us understand X in a new way and may give us reasons to reconsider our acceptance of X. This inversion of perspective illuminates the opposite of what others are looking at and provides a deeper understanding of potential solutions.

When Charlie talks, we listen. So instead of identifying all the reasons why investors can benefit from investment advisors (which everyone can cite chapter and verse), we decided to come up with a list of 10 things people don't like about their financial advisors. Here is the list of 10 things that destroy the potential value of the financial experts we hire:

1. They charge too much.
2. I cannot understand what they actually charge.
3. They are always trying to sell me a “company” product.
4. They are overly aggressive in recommendations.
5. They constantly change my investments
6. The investment strategy is too complicated.
7. Nobody listens to my opinion.
8. My calls are secondary to the richer guy's.
9. Nobody will take ownership of mistakes.